hub, just like the Pearl River delta region in Guangdong. This is why Singapore decided to set up an industrial zone in Suzhou city, to take advantage of its proximity to Shanghai. This was also the region where China's first private sector enterprises began to be set up. The successful Chinese multinational e-commerce and financial technology firm Alibaba was established in the city of Hangzhou in Zhejiang province.

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The experience and indeed confidence gained through the reforms and opening-up policies in the coastal provinces became a template for national- and macro-level reforms. Deng was assisted in this regard by Premier Zhao Ziyang and Party General Secretary Hu Yaobang.

In 1980, Hua Guofeng, who had been designated as successor by Chairman Mao Zedong but had assisted in the overthrow of the Gang of Four after Mao's death, was nevertheless eased out by Deng Xiaoping and the old guard in the CPC. He was divested of his post as Premier in 1980, when he was replaced by Zhao Ziyang. Then, in 1981, he was succeeded as Chairman of the CPC by Hu Yaobang. The post of Party Chairman was abolished in 1982, with Hu becoming the General Secretary of the Party. These two new leaders, Hu and Zhao, significantly advanced the process of reform, promoting professionally qualified and expert cadres to senior positions both in the Party and the state bureaucracy.

A limited degree of political liberalization was also encouraged, and universities became centres of debate and liberal thinking. But China's rapid economic growth was accompanied by high inflation and growing resentment over rising income inequalities. There were popular demonstrations in several parts of the country in which university students played a significant role. Hu Yaobang was eased out of his position as General Secretary of the Party in 1987 for not being strict enough in curbing these challenges to the Party's authority. Zhao Ziyang succeeded Hu Yaobang as Party Secretary, and a new Premier, Li Peng, a typical, conservative party apparatchik, took office.

Hu Yaobang's death in April 1989 triggered large demonstrations in the